

Week ending: 19th November 2021

Weekly Fixed Income Note

Key Highlights:

- T-bills were oversubscribed during the week recording an overall subscription rate of **108.64%** compared to **69.27%** recorded the previous week. The 91-day paper was oversubscribed with the subscription rate coming in at **209.94%** while the 182-day and 364-day papers were undersubscribed recording a performance rate of **84.76%** and **92.00%** respectively**.** The CBK accepted **89.19%** of the **KES 26.07Bn** worth of bids received. **The current fiscal year borrowing is 41.18% ahead of prorated target.** The yield on all papers maintained their upward momentum edging up by 4.4 bps, 6.4 bps and 9.5 bps to close at **7.11%, 7.75%** and **8.84%** for the 91-day, 182-day and 364-day papers, respectively.

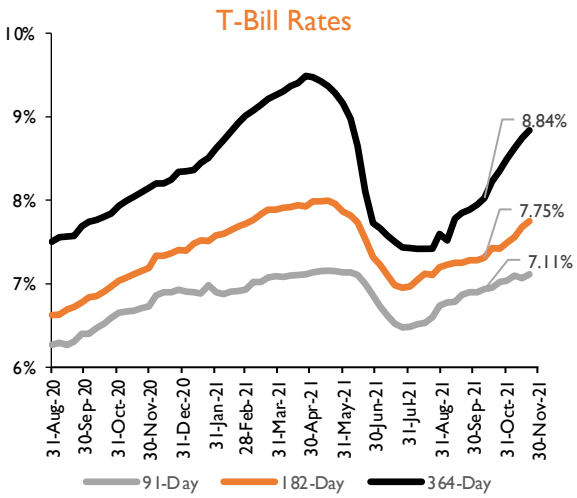
- In the secondary market, the value of bonds traded decreased by **39.55%** to **KES 11.13 Bn** from **KES 18.65 Bn** recorded last week. The reduction in secondary activity can be partly attributed to investors' anticipation of an attractive primary issue in December. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.53** taking the ytd loss to **0.99%.**

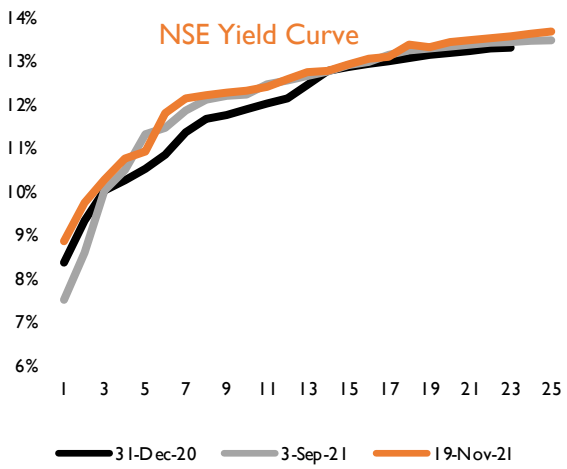
We expect activity in the secondary bond market to cool off in the coming week at least until the December primary issue. However, we still maintain that activity will be driven by investors hunting for higher yields and attractive entry points on specific papers. Continued borrowing by the government is likely to exert upward pressure on the yield curve.

Macroeconomic data	Current	Previous
GDP (2Q2021 vs. 1Q2021)	10.10%	(0.70%)
Inflation (October)	6.45%	6.91%
Private sector credit growth (August)	7.00%	6.10%
Money Supply (June)	6.30%	7.60%

Key Indicators

	Current	Previous	% Change
91- Day	7.11%	7.07%	0.04%
182-Day	7.75%	7.68%	0.07%
364-Day	8.84%	8.75%	0.09%
Interbank Rate	5.20%	4.68%	0.52%





MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.33%** to trade at **112.18** from **111.81** at the close of last week. The shilling has depreciated by **2.76%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 8,873** million (**5.42** months of import cover), a **2.43%** week-on-week decline from **USD 9,094** million (**5.56** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the market tightened as reflected by the average interbank rate increasing to **5.20%** from **4.68%** recorded at the end of the previous week. We attribute the tightening to the monthly CRR cycle by the banking sector.

We expect the interbank rate to remain near the region of 5.00%, for the coming week, mainly driven by aggressive open market operations by the CBK and the beginning of the monthly CRR cycle. However, we expect government payment to continue supporting inflows.

FY22/23 Draft BPS

The National Treasury released the FY2022/23 draft budget policy statement a document that outlines the planned expenditure by the government in the coming fiscal year. The expenditure is set to decline to **KES 3,298.3Bn**, where we remain concerned about the amount allocated to development expenditure (KES 712.0Bn) compared to recurrent expenditure (KES 2,174.9Bn). Revenue is set to increase to **KES 2,405.3Bn** while the deficit will come in at **KES 846.1Bn**. Foreign borrowing will stand at **KES 363.0Bn** with an intention to float another Eurobond, while domestic borrowing will stand at **KES 483.1Bn. We foresee a continued pick-up in economic growth with the GDP growth coming in at around 5.0% mainly due to increased economic activity. We remain concerned about the low level of development expenditure compared to recurrent especially given the need to rebuild the economy from the effects of the pandemic.**

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